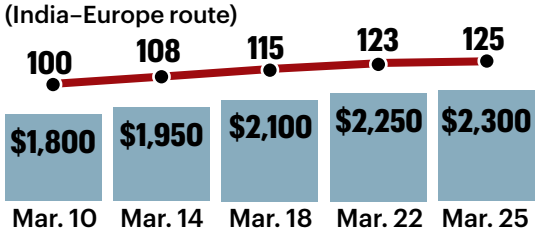
HORMUZ DISRUPTION

FREIGHT RATE MOVEMENT

(India–Europe route)



Approx. $/FEU* Base=100 in ( ), Freight Index

FEU: Forty-foot Equivalent Unit, standard measure for a 40-foot container

TRANSIT TIME INCREASE

Transit time (Days)

Pre-crisis phase	18-25
Mid-March phase	22-28
Late March	25-32
Via Cape of Good Hope	30-38

SURCHARGE BUILD-UP

($ per container) Pre-crisis Post-crisis

Base freight	War risk insurance	Emergency surcharges
1,800	50	0-800
1,900	300-500	500-800

LOGISTICS PAIN POINTS FOR INDIAN EXPORTERS

Freight rates
+12-25%

Insurance premiums increase
3-5x

Transit time
+4-10 days

Container availability
Tight / delayed

Shipment deferment
10-20% (select sectors)

Source: Industry estimates

THE IMPACT

- Dubai, which lies on the Hormuz Strait, is India's primary re-export gateway to global markets
- UAE is one of our top 3 trade partners; bilateral trade: $100 bn annually
- Shipping lines have reduced frequency/rerouted vessels. Freight rates up
- Exporters also hit by high war-risk insurance premiums, container shortages
- Ramzan is over, exporters say full effect of disruption will be felt in coming weeks

ment claims for goods given on credit), and higher upfront logistics costs are straining working capital.

What is being done

The Centre has announced a Rs 497 crore Resilience and Logistics Intervention for Export Facilitation (RELIEF) scheme for exporters, aimed as a cushion against logistics- and risk-related costs. The scheme prioritises MSMEs, focusing on the immediate pain points—insurance and freight rate hikes.

Diplomatic efforts have also helped nudge Tehran into letting shipments through, yet each one still requires separate parleys and payment mechanisms (the Iranians prefer yuan or rouble to the dollar). This means contingency surcharges of up to $4,000 per container and freight rates up by 40-50 per cent on key routes. A clear, institutional mechanism for transit would reduce the uncertainty—and costs—for exporters.

"THE REAL CONCERN IS FOR MSME EXPORTERS, WHERE RISING LOGISTICS AND INSURANCE COSTS, ALONG WITH DELAYED RECEIVABLES, ARE TIGHTENING LIQUIDITY CYCLES"

—AJAY SAHAI, *Director-General, Federation of Indian Export Organisations (FIEO)*

What more needs to be done

Ajay Sahai, director-general, Federation of Indian Export Organisations (FIEO), says, "Right now, what we are witnessing is more of shipment deferment and cost renegotiation rather than outright order cancellations." The "seasonal buffer" is also playing a role. In the run-up to Ramzan, importers across Middle Eastern markets had built up big inventories, which is why shipments in February and early March were strong. Exporters say the full effect of the Hormuz disruption is likely to be felt in the coming weeks as post-Ramzan demand patterns normalise and inventory drawdowns begin.

Sahai points to the need for enhanced credit support, faster refund mechanisms and more responsive risk cover from export credit insurance agencies to prevent the current stress from translating into a broader slowdown. The disruption has also reignited debate around structural vulnerabilities in India's export logistics. "This has exposed our continued dependence on external transshipment hubs," Sahai says, adding that developing domestic capacities such as the Vizhinjam international seaport and a more resilient export logistics ecosystem have become critical. ■